

THE MONOPOLIES COMMISSION

Clutch Mechanisms for Road Vehicles

A Report on the Supply of Clutch Mechanisms for Road Vehicles

*Presented pursuant to section 9 of the
Monopolies and Restrictive Practices
(Inquiry and Control) Act 1948*

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LONDON
HER MAJESTY'S STATIONERY OFFICE

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*These members formed the group, under the chairmanship of Mr. E. L. Richards, which was responsible for the inquiry. Mr. R. G. Opie, who was appointed a member of the Commission in January 1968 and of the group in February, was unable to attend the hearing with the principal witness in May and certain other meetings and therefore thought it right to take no part in subsequent proceedings. Accordingly the report is signed by the other nine members of the group.

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The Reference made by the Board of Trade
The Monopolies and Mergers Acts 1948 and 1965

Reference to the Monopolies Commission
Clutch Mechanisms for Road Vehicles

1. Whereas it appears to the Board of Trade that it is or may be the fact that conditions to which the Monopolies and Restrictive Practices (Inquiry and Control) Act 1948, as amended, applies prevail as respects the supply of clutch mechanisms for road vehicles and of parts of such mechanisms:

2. Now, therefore, the Board of Trade in pursuance of section 2(1) of the said Act, hereby refer the supply of such mechanisms and parts to the Monopolies Commission for investigation and report.

3. The Commission shall as respects such supply investigate and report—

- (i) whether the conditions to which the said Act, as amended, applies in fact prevail and if so, in what manner and to what extent;
- (ii) on the things which are done by the parties concerned as a result of, or for the purpose of preserving, those conditions;
- (iii) whether the said conditions, or all or any of the things done as afore-said, operate or may be expected to operate against the public interest.

4. In this reference—

‘road vehicles’ means vehicles primarily intended for use on the highway and does not include tracked vehicles or vehicles designed to run on rails; and

‘clutch mechanisms’ includes friction clutch mechanisms and mechanisms intended for use in connection with self-changing gear systems but does not include operating pedals, levers and linkages.

Dated this 12th day of December 1966.

F. W. GLAVES-SMITH
An Under Secretary of the Board of Trade

Introduction

1. The following report on the supply of clutch mechanisms for road vehicles is submitted in accordance with section 2(1) of the Monopolies and Restrictive Practices (Inquiry and Control) Act 1948 (as amended). The reference was received from the Board of Trade on 12th December 1966.

2. We have received evidence from the Automotive Products group, the principal supplier of clutch mechanisms.

3. We have also received evidence from other suppliers of clutch mechanisms, including Laycock Engineering Limited and Quinton Hazell (Holdings) Limited, from manufacturers of friction materials, from manufacturers of cars and other road vehicles, from distributors of clutch mechanisms and associations of distributors, from vehicle users and from the private motorists' associations. From some of these we took oral evidence after we had considered their written submissions. Members of the Commission and of the staff visited certain factories.

4. Representatives of the Automotive Products group attended a meeting in October 1967 to clarify outstanding matters of fact.

5. In December 1967 we informed the Automotive Products group of our provisional conclusion that the conditions of the 1948 Act (as amended) prevailed in respect of the supply of clutch mechanisms for road vehicles; and we notified it of the issues that required consideration in determining whether the conditions, or any things done as a result of or for the purpose of preserving the conditions, operated or might be expected to operate against the public interest. The group made certain representations to us in writing and in May 1968 its representatives attended a hearing for the purpose of discussing these matters with us. A further meeting was held in August. At these meetings the group was represented by counsel.

6. We wish to record our appreciation of the assistance given to us by the Automotive Products group and all the others who have provided us with the information required for our investigation. Some of the information received relates to confidential business affairs and we have been careful not to disclose it in our report unless it is essential for a proper understanding of the issues.

CHAPTER 1

General

7. The goods to which our reference applies are clutch mechanisms for road vehicles and parts of such mechanisms. 'Road vehicles' as defined in the reference 'means vehicles primarily intended for use on the highway and does not include tracked vehicles or vehicles designed to run on rails'. We regard these vehicles as including private cars, commercial and public transport vehicles (other than trams), mopeds and motor cycles. 'Clutch mechanisms' as defined 'includes friction clutch mechanisms and mechanisms intended for use in connection with self-changing gear systems but does not include operating pedals, levers and linkages'. These mechanisms fall into two distinct categories:

- (a) The conventional friction clutch used on the majority of cars and commercial vehicles. This comprises three assemblies, viz. the clutch cover, driven plate and release bearing assemblies. These may be supplied together or separately.
- (b) The clutch equivalent mechanisms which are an integral part of automatic gearboxes. We regard these as including torque converters, fluid flywheels, multiplate clutch assemblies, brake bands and certain associated equipment (see appendix 2). These are normally sold, except for replacement purposes, as part of a gearbox or engine unit.

8. We regard the 'parts' of clutch mechanisms as consisting principally of the assemblies and clutch equivalent mechanisms mentioned above and, in addition, certain friction facings or linings for driven plates when these are supplied by lining manufacturers to vehicle makers, repairers or fleet operators. Other clutch components such as springs, rivets and bolts could no doubt be regarded as parts. The bulk of these are, however, supplied to clutch manufacturers for incorporation in their production. We have not thought it worthwhile to attempt to obtain figures of these sales to manufacturers or of the quantities, believed to be insignificant, which may be resold by them. Accordingly, for practical and statistical purposes, we do not regard any components when sold to clutch manufacturers as 'parts' of clutch mechanisms in the sense of the reference.

9. The exclusion from the reference of operating pedals, levers and linkages virtually excludes all the equipment between the driver and the release bearing mechanism or, in the case of automatic transmissions, the gearbox.

10. The clutch is essentially a device for connecting and disconnecting the drive from the engine and such devices of one kind or another are as old as the internal combustion engine, which, unlike the steam engine, cannot start under load. Various types have been used on cars including, in earlier days, cone clutches in which the friction material was leather, and multiplate clutches, either dry or running in oil. The single plate dry clutch of the kind now in common use was developed in the United States in the 1920's. In the early 1930's two important and similar types of American clutches were introduced into this country by the founders of the Automotive Products group (AP) and the Ford Motor Company Limited (Ford) respectively.

11. AP began to manufacture clutches in 1932. Until then the larger vehicle manufacturers had made their own clutches, but there were a number of small specialist clutch producers. During the 1930's vehicle makers, with the major exception of Ford and certain heavy vehicle makers, generally abandoned clutch production and obtained their requirements from AP, whose business accordingly grew with that of its customers. The same pattern was resumed after the war, and with one minor exception* vehicle makers appear to have had no other outside supplier of conventional clutches for road vehicles until 1962 when Laycock Engineering Limited (Laycock) obtained its first contract for car clutches. Until the last few years the competition met by AP has been confined to vehicle makers' own production and, to a smaller extent, the activities of small producers or reconditioners on the periphery of the replacement trade. The picture has been different in automatic transmissions. Leaving aside certain special developments on the part of the more expensive car and heavy vehicle manufacturers, the principal supplier in the United Kingdom of automatic transmissions in the last few years has been Borg-Warner Limited, AP being a relative newcomer in this field (see chapter 2). Sales of the clutch equivalent parts of automatic transmissions are small in comparison with those of conventional clutches (the ratio in 1967 was rather more than one to six—see appendix 1), and it is with the latter that this inquiry has been principally concerned.

12. In 1967 AP's sales of reference goods were £8,988,000, accounting for nearly 63 per cent of total supplies (see appendix 1). About half by value of AP's sales are to vehicle makers for initial equipment and about one-quarter to vehicle makers for resale as spares through their own distributive organisations, the remaining quarter being sold through wholesalers selected by AP to the general motor accessory and repair trade. The other manufacturers who have business with vehicle makers include Laycock, two manufacturers of driven plates, Power Jacks Limited and Small and Parkes Limited, and certain ball-race manufacturers who supply release bearings. The other manufacturers of conventional clutches sell only to the general replacement market; they include Quinton Hazell (Holdings) Limited and Repco Clutch (UK) Limited (Repco), which began to manufacture clutches in 1962 and 1963 respectively, and a number of reconditioners. In addition the concessionaires for a number of foreign cars supply imported clutches and parts for repair or replacement on their respective vehicles. There appears to be no importation of clutch mechanisms by concerns unconnected with clutch or vehicle manufacturers.

13. Clutches are supplied (a) to vehicle makers for incorporation as initial equipment in vehicles and (b) to vehicle makers and other distributors for repair or replacement purposes, the end user in all cases being the private motorist, commercial user or fleet operator. The vehicle makers in question are principally car and commercial vehicle manufacturers; motor-cycle manufacturers make their own clutches and moped engines are imported with the clutch already attached. Vehicle makers who buy clutch assemblies or parts for replacement ('spares') sell them through their respective distributive organisations. These

*Newton & Bennett Ltd. (now part of Power Jacks Ltd.), acquired by Standard-Triumph International Ltd. in 1959, has manufactured driven plates and supplied them to the British Motor Corporation for some years. Since the formation of the British Leyland Motor Corporation, Power Jacks' customers are within the same group.

spares, like the initial equipment, must comply with the vehicle maker's specifications and requirements and thus be 'genuine' or 'approved'. In practice these spares are almost invariably of the same make as the initial equipment they replace. A dealer who holds a franchise from a vehicle maker is required to use only approved spares when repairing one of that maker's cars and, usually, to buy these spares from one of the vehicle maker's distributors or other indicated source. Vehicle makers commonly regard any makes of clutches which they have not approved and distributed as 'spurious' so far as use on their own vehicles is concerned. A further feature of particular interest in this inquiry is the wide difference in the price which the vehicle maker pays for clutches bought respectively for initial equipment and for replacement. The practice, which applies to a wide range of proprietary components, is generally regarded as traditional in this country (see paragraphs 118, 123, 129, 132 and 135).

14. Until 1952 AP sold clutch spares only to its vehicle-maker customers (this is Laycock's current practice). The distributors of clutch spares who are outside the vehicle makers' organisations comprise general motor accessory wholesalers, retailers, garages and repairers. Retail dealers who hold franchises for one or more vehicle makers may also buy clutches from general trade sources where the repair of other vehicles is concerned. There are also a large number of garages and repairers who hold no franchise for particular vehicle sales.

15. It is customary in the clutch spares trade for manufacturers to recommend the retail prices at which spares should be sold. AP also recommends the terms for intermediate sales through its selected distributors. Vehicle makers determine their own price structure but those who buy from AP generally follow the retail prices which AP recommends for the same clutches sold to the general trade. Type for type, there is a general similarity between the retail prices recommended by AP, Quinton Hazell and Repco.

16. The trade associations of interest to this investigation are the Society of Motor Manufacturers and Traders Limited (SMMT), the Motor Factors' Association (MFA) and the Motor Agents' Association Limited (MAA). We give a short account of their activities in appendix 1. In the same appendix we also give a short note of the Ministry of Technology's responsibilities, the import duties on clutch mechanisms, and some statistical information about the output of the British motor industry.